

3.3.4 INFLUENCES ON BUSINESS DECISIONS

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Corporate Culture

Under this you should know:

- a) Strong and weak cultures
- b) Classification of company cultures:
 - power
 - role
 - task
 - person
- c) How corporate culture is formed
- d) Difficulties in changing an established culture

What is corporate culture?

Charles Handy in his book “Understanding Organisations”, which he wrote in 1981, said corporate culture was: “The way we do things round here”.

A company culture is the norms and values of a business.

Organisation, corporate, or business culture is the **values, attitudes, beliefs, meanings and norms** that are **shared by people and groups** within an organisation.

Strong and weak cultures

Features of a strong culture

A strong culture is one that is deeply fixed into the way a business or organisation does things.

- Strong cultures have good communication with their employees
- They have a focus on core values
- The recruitment and training tries to find individuals who best fit the culture of the business
- The culture is usually based around the history, tradition and founders of the business

It is argued that there are certain advantages to a business of establishing a strong corporate culture. These include:

- It provides a sense of identity to employees. (workers are willing to be more flexible)
- Workers identify with other employees. (helps with teamwork)
- Increases the commitment of employees to the company. (reduces labour turnover)
- Motivates workers in their jobs. (increases productivity)
- Helps prevent misunderstandings among workers.
- Helps to reinforce the values of the organisation.
- Acts as a control device. (helpful when setting company strategy)

Features of a weak culture

A weak culture exists where it is difficult to identify the factors that form the culture or where a wide range of subcultures exist.

- A weak culture often leads to business failure
- It will exhibit a demotivated workforce
- There will be inconsistent customer service
 - Long wait times
 - Inflexible staff
 - Phones may not be answered
 - Mistakes are more likely to happen
- It may be poorly managed
- It will be very bureaucratic and lack flexibility to respond to dynamic markets
- Inconsistent behaviour. (inconsistent and poor performance)
- Higher costs as corrections have to achieve a stronger culture.

It should be noted that a strong corporate culture does not guarantee success. An extremely rigid culture may make a business unable to respond quickly to changes in the market. In such a case, a weak culture may adapt more easily.

Factors Leading to Strong or Weak Culture in a Business:

- Surface manifestations (i.e. appearances).
 - Artefacts such as furniture, clothes or tools (like a uniform).
 - Ceremonials, such as award giving ceremonies.
 - Courses, such as induction courses, or ongoing training courses to instil organisational culture.
 - Heroes of the business, living or dead, like Bill Gates, Richard Branson, or Walt Disney, who act as role models.

- Language used in a business-specific way, such as referring to workers as 'colleagues' or calling workers 'crew members' or 'associates'
- Mottoes, which are short statements that never change, expressing the values of an organisation.
- Stories, which tell of some important event that exemplifies the values of a business, like the history and role of their founders.
- Myths, which are told about a business but are not necessarily true.
- Norms, which are the ways in which most workers behave (habits and behaviour).
- Physical layout of the business, such as open plan offices, or the allocation of more office space for higher ranking employees.
- Rituals, which are regular events reinforcing corporate culture such as supporting charity or fundraising events, or having a weekly 'dress down day' or an annual end of year party. (these can reflect on the type of organisational culture in place)
- Core organisational values.
 - These are consciously expressed in words and policies, such as mission statements.
 - Workers may have very different values from the ones senior management want them to possess.
- Basic assumptions.
 - Unspoken beliefs and ways of working.
 - These are often 'invisible', and difficult to understand and change.

In practice, there may be differences between the different levels of corporate culture, where a company that appears to have a strong/weak culture may actually be shown to be the opposite according to other factors.

Classification of Corporate Culture:

Charles Handy identified 4 main company cultures. They each have different characteristics and are all identified by different drawings

You will **not** have to draw the culture diagrams in an exam, it will just help you to learn the types and apply them to a given business.

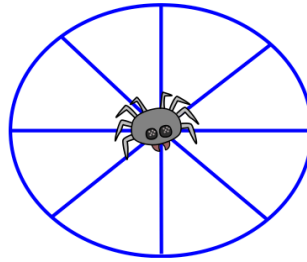
They are:

- Power culture
- Role culture
- Task culture

- Person culture

Power Culture:

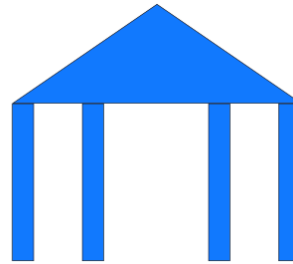
- Handy's power culture is represented by a spider on a web, this symbolises a very strong owner or manager at the heart of the business



- A central source of power is responsible for decision making.
- There are few rules and procedures within the business; Individuals in power may choose not to abide by these rules.
- Competition to gain power creates a political atmosphere.
- This is common in relatively small, newer businesses where a single owner founded the firm and is still in control.

Role Culture:

- Handy's role culture is represented by the drawing of a bank or Greek temple, this symbolises the bureaucracy, red tape and paperwork systems in this very rigid organisation

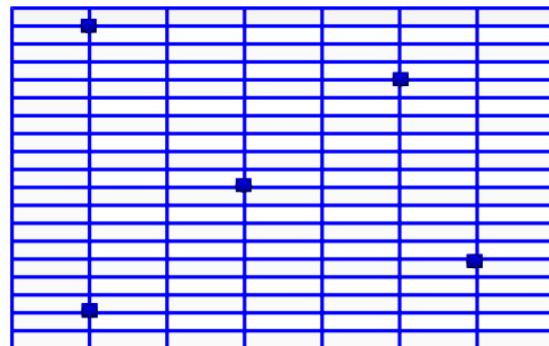


- Decisions in a role culture are made through well-established rules and procedures
- The power to make decisions in a role culture comes from the job title, for example marketing director (or Deputy Head)
- This is a very bureaucratic culture and may involve lots of paperwork
- Power is associated with a role.
- Decisions are made through well-established rules and procedures.
- Influence and control lies with the roles that individuals play rather than the individuals themselves.
- These organisations usually have tall hierarchies with long chains of command.
- Highly bureaucratic
- Local governments responsible for community services are usually role cultures.

- Role culture example, civil service. The Civil Service provides services directly to people all over the country, including:
 - paying benefits and pensions
 - running employment services
 - running prisons
 - issuing driving licences
- They also have staff working on policy development and implementation, including analysts, project managers, lawyers and economists.

Task Culture:

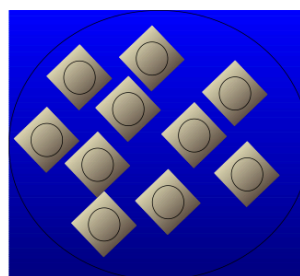
- Task culture is represented by a matrix or grid diagram, this symbolises a series of work teams in a large organisation e.g. the Vectra team at Vauxhall might have a finance manager, a marketing manager and a representative from production on the design team



- In a task culture the focus is a project that needs to be completed
- The power in a task culture comes from those who can accomplish the tasks and have the expertise, for example a car designer, or an oil rig engineer
- This involves teamwork on a project, a team of experts working together
- Examples are scientific projects and car design

Person Culture:

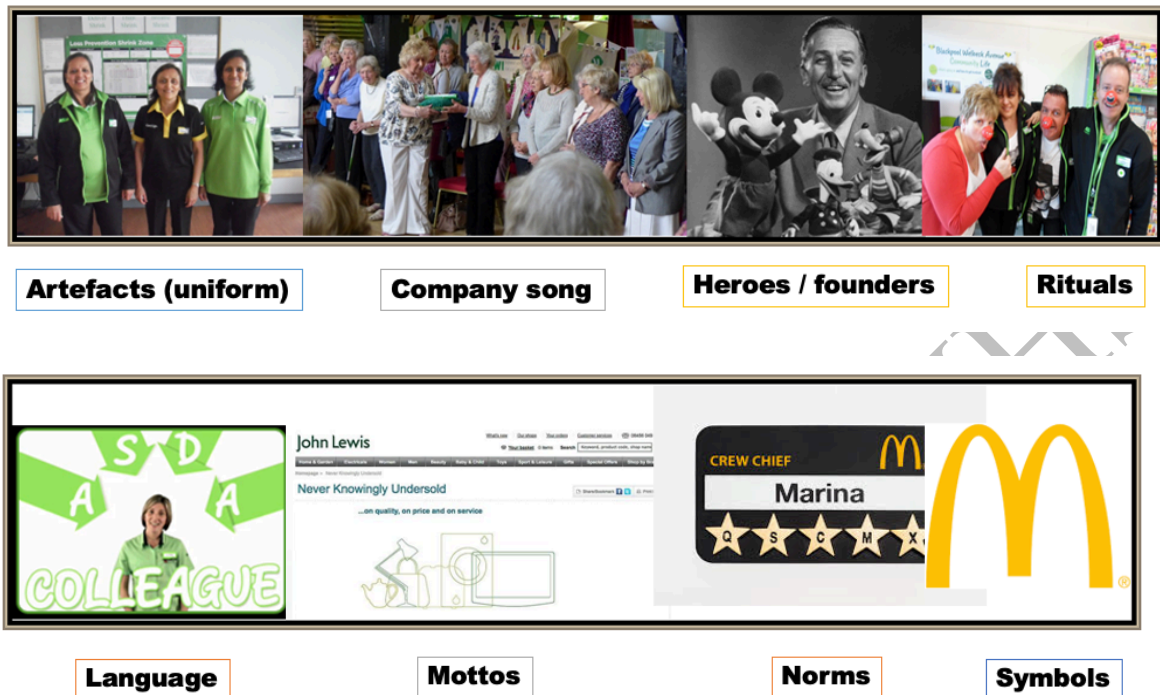
- Person culture is represented by a petri dish, or a circle filled with smaller circles
- This symbolises employees in an organisation that are all autonomous, skilled individuals e.g. web designers



- Person culture; In a person culture there are grouping of similar skilled people to share expertise and knowledge
- These all work on a client by client basis rather than on a project by project basis such as in task culture. Examples are; Lawyers, Accountants, Engineers, Doctors, Vets, Architects
- A number of individuals in a business with high levels of expertise, that don't necessarily work closely together.
- The purpose of the organisation revolves around those individuals.

- These businesses are full of people with similar backgrounds, skill sets, and training.

How corporate culture is formed



Some of the key factors include;

- The role of the founders and owners, are key decisions still based round their ethos or influence?
- The nature of the business and the products it sells
- The degree to which products sold have changed over time
- The business environment when it started (war time / 80s dot com)
- The recruitment and process of key staff
- Working hours
- Attitude to customer service

Different businesses may be impacted by these factors differently, with some being affected more than others.

Difficulties in changing an established culture

- Changing an Established Culture
- Changing the factors forming a corporate culture can have varying effects on a business.
- Most organisations have subcultures which are even harder to change.
- Some aspects like policies, rules, and working policies are easier to change than intangible factors like people's attitudes and beliefs.

- Culture can be changed if the right factors are influenced and the leaders within the organisation are strong, but changing culture is still a long and slow process.
- Strong cultures are hard to change, because a culture consists of interlocking (each component reinforces the other):
 - Set of goals
 - Roles
 - Processes
 - Values
 - Communications practices
 - Attitudes
 - Assumptions

EXAM STYLE QUESTION

Evidence A

How Superdry quietly took over the fashion world

This week, SuperGroup, the company that owns streetwear label Superdry, has, yet again, proved itself the indestructible superhero on the high street. The retailer reported sales up 48% since April 2011, its pre-tax profits stood at £50.2m and its share price had City analysts yelling: "Buy, buy!"

Superdry was set up in 2003. Julian Dunkerton, who owns SuperGroup, already owned a brand named Cult Clothing that sold vintage-looking, skater-ish clothing and logo T-shirts to students in cities such as Cheltenham, Oxford, Birmingham and Edinburgh. One of the labels that Cult stocked was Bench – a skater brand known for its hoodies and T-shirts. When Bench's founder and designer James Holder left, Dunkerton proposed working together and Superdry was born.

Since then the label has consistently outperformed the competition. It added 18 UK stores in 2010, taking the total to 60. A further 44 franchised stores were opened abroad last year alone, taking the total to 80. It is the label most likely to be worn by celebrities like David Beckham, Justin Bieber, Helena Christensen, Kristen Stewart and Ben Stiller. Indeed Superdry attracts celebrities all the way down the food chain to Cheryl Cole's mate Derek Hough who are actually willing to pay for the clothes (a feat in itself in the celebrity world of "gifting"). Superdry is a modern sartorial phenomenon. And yet it still flies under the radar.



Assess the likely impact of company history in shaping Superdry's corporate culture.

[12]

ANSWER

Level	Mark	Descriptor	Possible Content
Level 1	1-2	Candidate shows knowledge of corporate culture or factors influencing it (competitors, demographic changes, world recession, ethical consumerism, Plc status, owners' attitudes).	• Culture is 'the way things are done around here' • Set of norms and values that employees in particular follow • Can be categorised: role; power; task etc.
Level 2	3-4	Answers should be applied to Superdry's history and/or culture (evidence A).	• Superdry grew from Cult clothing which itself began as a clothes retailer in university towns • Superdry only started in 2003 and has grown quickly • Refers to Julian Dunkerton now represents a power culture
Level 3	5-6	Candidate analyse using reasons/causes/consequences/costs of the history being linked to culture. Cap at 5 for analysis not in context.	• The target market and the way that the product has been adopted by famous people might affect the culture as its seen as a 'cool' place to work • Young workers are likely to be recruited to reflect the brand image and this will affect the culture of the business • The values of Superdry are still being formed and this will make the culture more fluid than more established businesses
Level 4	7-10	<u>Low Level 4: 7 marks</u> Two-sided argument, but only one side in context. <u>Mid level 4: 4 - 8 marks</u> Arguments for and against history playing an important role in culture, both sides in context. <u>High Level 4: 9-10 marks</u> Expect to see convincing evaluative points with a conclusion.	• Company history is only one element of a corporate culture: the influence of SuperGroup's founder Julian Dunkerton will be important • Other factors such as the nature of the market in which they operate, which is rapidly changing and competitors such as Hollister and Abercrombie will also influence the culture • It is more likely that the business's rapid expansion and recent stock-market flotation will have the biggest influences on culture as this adds pressure for results and can affect employee relationships as a result.

Stakeholder Model vs. Shareholder Model

Expected things to know:

- a) Internal and external stakeholders.
- b) Stakeholder objectives.
- c) Stakeholder and shareholder influences:
 - stakeholder: that the business considers all of its stakeholders in its business decisions/objectives
 - shareholder: that the business should focus purely on shareholder returns (increasing share price and dividends) in its business decisions/objectives.
- d) The potential for conflict between profit-based (shareholder) and wider objectives (stakeholder).

Definition stakeholder

A stakeholder is a person, group or organisation who can affect or be affected by the actions, objectives, and policies of a business.

A stakeholder is anyone who has an **interest** in the business, or who may be affected by the activities of the business

Definition shareholder

A shareholder is a person, business or organisation that owns at least one share of a company

A shareholder is a stakeholder of the business

Internal Stakeholders

A stakeholder is anyone that has an interest in the business and is affected by the actions of a business.

Internal stakeholders are those inside a business who may be affected by corporate decision making;

1. Employees
2. Managers
3. Owners

Employees – want to know about job security, 310,000 employees in the UK

Board of Directors – want to know about strategic objectives, and profit

Managers – want to know about budgets, targets, profit, promotion and bonuses

External stakeholders

External stakeholders are those outside the organisation who are affected by decisions made by the business. These vary depending on the business and its location, but the main general ones are:

1. Customers
2. Competitors
3. Suppliers
4. Community groups (pressure groups)
5. Unions

Customers – interested in product availability, prices, promotions

Suppliers – interested in credit terms, contracts and profit margins

Community groups – interested in effect on locals of store opening

Unions – interested in pay rates and worker's rights

Competitors – interested in market share, market size, promotions, customer loyalty

Analysis of stakeholders

- **Who are they?**
 - Unite union
- **Are they internal or external to the business?**
 - External
- **What power do they have?**
 - 310,000 employees who are members, union representatives meet with Directors and speak on behalf of the workers (collective bargaining)
- **What interest do they have in the business?**
 - Demanding better conditions for workers
- **What influence do they have?**
 - Influence over Directors as they can threaten a strike or a sit in, negative PR for the company – see the YouTube video of the protest
- **Is the influence positive or negative?**
 - Positive for the workers, negative as it will cost the business more
- **Do their objectives conflict with those of the Directors / Owners?**
 - Yes, Directors will want to keep profits high so shareholders can get dividends. This will mean keeping costs low so their priority may not be

better working conditions as this will just cost money and not make any more revenue

Stakeholder Objectives

Stakeholder	Objective
Shareholders	● Maximise shareholder value (size of dividends and share price)
Employees	● Success of the business ● Higher wages ● Job security ● Comfortable working conditions (Herzberg's theory) ● Maximise financial rewards and welfare
Managerial	● Success of the business ● Bonus payments ● Expense allowances ● Company benefits
Consumer	● Good quality products at a fair price ● Clear and accurate information about products ● High-quality customer service ● Variety of products to choose from ● Innovative products ● Flexibility
Supplier	● Fair treatment by business ● Long term contracts and regular orders ● Fair price for goods or services ● Payment in reasonable time
Government	● Growth of business ● More profit ● Compliance with legislation ● Ethical business behaviour
Environmental	● Avoid negative impacts on the environment
Local Community	● Contribution to the success of the community ● Creation of jobs ● Links with schools and charities ● Open communications ● Avoid/minimise congestion and pollution

The potential for conflict

Stakeholder objectives – possible conflict

Stakeholder	Objectives	Conflict with Board of Director's or owners objectives?
Customers	Low prices	Conflict – high profits, therefore keep prices high where possible
Suppliers	High prices for their supplies	Conflict – high profits, therefore low prices paid for supplies
Government	Tax, CMA	Conflict tax erodes profit, conflict Directors want to open lots of stores for market dominance
Unions	Working conditions and pay	Conflict, high profits means cost cutting and paying as low wages as possible
Employees	Pay and job security	Conflict, profit may be driven by zero hours contracts
Managers	Budgets, promotion	Conflict, Directors may want to appoint from outside to get fresh ideas
Competitors	Small local independents see Tesco's as a threat	Conflict, Board want to continue opening stores

Stakeholder Influences – Shareholder Model:

- The objectives of shareholders may have more influence on decision making than those of other stakeholders.
- This model is based on the idea that directors and managers are employed by shareholders and should serve their interests.

The Potential for Conflict Between Stakeholders and Shareholders:

Employees:

Employees want higher wages, better conditions, more benefits and bonuses. Providing training and improving employee welfare comes at a cost. If the needs of employees are met in full, there is likely to be a negative effect on profit and dividends. Thus, conflict will arise if the shareholders insist that benefits to employees should not come at the cost of dividends.

Customers:

If a business charges prices that are too high, shareholder returns would increase, but the buying power of consumers would decrease. Customers might also enter into conflict with business if the levels of customer service are poor, or if the business fails to invest in research and development and bring out new products. However, by not spending on this, the business can pay shareholders higher dividends.

Directors and Managers:

Senior directors and managers are employed to further the interests of shareholders. However, conflict might arise if they start to prioritise their own objectives, such as maximising remuneration, expenses and other benefits. As a result, profit and dividends may be lower.

This is common in businesses where there is a 'divorce of ownership and control' where shares are held by a very large number of different shareholders where no individual has significant control.

Shareholders may prefer to have higher dividends while directors may prefer to retain more profit for investment.

The Environment:

In maximising profits, a business might forget its responsibilities towards the environment. One very serious concern is the impact some business activity is having on the environment. Such activities may attract the attention of the media and environmental groups, resulting in conflict between the company and environmentalists.

The Government:

Conflict happens in this area when businesses break the law. Many large firms have been accused of tax evasion. If corporations can reduce the amount of tax they pay, then shareholders will enjoy bigger profits. However, if businesses are able to avoid paying taxes, the government is likely to be criticised.

Business Ethics

- a) Ethics of strategic decisions: trade-offs between profit and ethics.
- b) Pay and rewards.
- c) Corporate social responsibility (CSR)

Business ethics consider the moral 'rights and wrongs' of a decision. This is focused more on a strategic level, rather than individual employees.

In some businesses it is not possible to be ethical and profitable

(ethics) Moral principles that govern a person's behaviour or the conducting of an activity

(morals) Standards of behaviour; principles of right and wrong

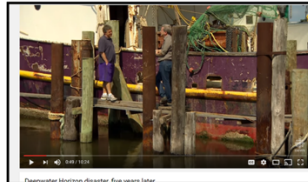
Ethics of strategic decisions

- Businesses want to appear to be doing "the right thing" but this is not always possible if they wish to make a profit
- Often there is a trade-off between ethics and profitability (compromise)
- A prime example of a pharmaceutical company's exploitation of medicinal availability is GSK created a monopoly of HIV/AIDS medications in South Africa that resulted in drug availability to only 10 percent of the people who needed it.

Ethics vs profitability – Deepwater Horizon



- 2010 BP oil rig Deepwater Horizon caught fire
- 11 men lost their lives
- Obama said it was “the worst environmental disaster ever”
- Millions of gallons of oil spilt into the Gulf of Mexico
- All due to cost cutting by BP, failure to invest in training and health and safety
- Worst affected – fishermen and residents of the Gulf



ethical dilemma of drug accessibility circulates on the idea that if a disease-curing medicine can be produced, it is usually only accessible to wealthier populations.

Nestlé –profit before ethics

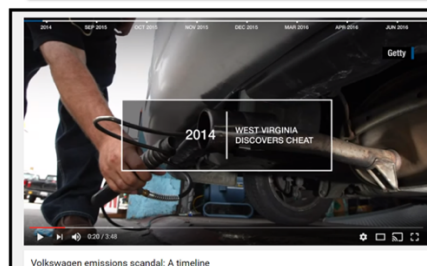


- Nestlé has been voted the least ethical company of the last 25 years by readers of Ethical Consumer.
- The Swiss food company 'won' with 15% of the vote, finishing just above Monsanto (14%) and the UK's number one tax avoider Amazon (12%).
- Nestlé is currently subject to the longest ever running consumer boycott. For over 20 years Baby Milk Action has called a boycott of the company for its irresponsible marketing of baby milk formula, which infringes the International Code of Marketing of Breast-milk



Ethics vs profitability - vw

- VW found it was cheaper to sell “green cars”
- So their marketing brag to customers was that their cars were low emissions and environmentally friendly
- This was a cheat designed to sell more cars
- The result was a loss of reputation for the car company



Ethics vs profitability -

MONSANTO



- Monsanto started as a chemical company and went into agribusiness producing genetically modified seed for farmers
- Seed only propagates once a year so farmers have to buy new seed every year
- Monsanto has been labelled the “face of corporate evil” and its products called “frankenfood” and “the terminator” strong words indeed
- Revenue in 2016 was \$13.5 billion



The Ethics of Strategic Decisions:

Strategic decisions are those that affect how a business operates in the long term.

The environment

In many countries, the law limits the amount of pollution or environmental damage a business can do. However, businesses must decide whether to adopt stricter measures to protect the environment, even if it means lower profits.

Animal Rights

Animal rights groups argue that testing cosmetics and other products on animals is unethical.

Food manufacturers or oil businesses can destroy habitats and endanger animals. Wildlife conservation groups argue against farming activities that destroy animal habitats.

Workers in developing countries

Companies manufacture in countries with emerging economies because products are much lower. However, there's an ethical question about how low costs should be at the expense of workers.

Corruption

In some industries, bribes might be used to persuade customers to sign contracts.

This often happens in emerging economies.

The ethical question is whether it is right to use bribes even if a business knows that it's competitors do.

New technologies

Technological developments such as nuclear power have been the subject of ethical debate since the 1950s.

A more recent example of this is genetically modified (GMO) crops, due to alleged health and environmental risks.

Product availability

Certain goods, such as pharmaceutical drugs, are often sold at a high price. This creates an ethical issue as not all people can afford certain treatments for serious illness.

The choice to manufacture drugs to treat widespread diseases like malaria instead of diseases suffered by fewer people is also an ethical issue.

Trading Issues

Some countries have been condemned internationally for the policies followed by their governments.

Companies must decide whether to trade with or invest in these countries.

Trade-offs Between Profit and Ethics

For businesses, acting ethically when not required to do so by the law can have a negative impact on profit in a number of ways. The result can be a trade-off.

- It can raise costs due to:
 - Paying employees more
 - Having to find alternatives to animal testing
 - Adopting an ethical code of practice can raise costs
- It can reduce revenues, as:
 - A business might lose a contract if it refuses to give a bribe
 - Selling medicines to emerging economies at low prices might increase sales, but total revenue is likely to be lower
 - GM crops might mean a competitor getting into the market first and becoming the market leader.
 - Acting ethically might even lower revenues to the point at which the business needs to shut down.

However, acting ethically can provide certain benefits.

- Some companies have used their ethical stance for marketing purposes. Some investors are interested in more than just financial returns.
- Some businesses promote their positive ethical beliefs when marketing their products. This improves their brand image.

Codes of Practice

In recent years, large businesses have adopted ethical codes of practice.

These explain how employees in the business should respond in situations where they encounter ethical issues. These usually contain statements about:

- Environmental responsibility
- Honesty in dealing with customers
- Fair competition (not engaging in collusion and destroyer pricing)

- Fair treatment of the workforce, and responding fairly to their needs

Pay and Rewards

An important issue in the area of business ethics relates to pay and rewards. Remuneration is the reward for work such as pay, wages or salary. This can be used by businesses to:

- Attract employees with the right skills, experience and knowledge
- Reward and motivate existing staff
- Maximise productivity levels

Corporate Social Responsibility (CSR)

Corporate Social Responsibility is a business approach that contributes to sustainable development by delivering economic, social and environmental benefits for all stakeholders

CSR is a form of self-regulation. It involves a business ensuring that its activities consider the interests of all stakeholders.

Some large businesses have responded to concerns about CSR through publicly available audits of relevant activities.

Different businesses might use measures that differ based on the industry and the size of the business.

CSR means that a business considers the impact that its decisions have on us as citizens

The business also considers what responsibilities they have towards society as stakeholders

It is generally accepted that CSR principals are incompatible with profit maximisation objectives

However many businesses now use their CSR credentials as a selling feature of their products, services or brands

Social and environmental audits may include how the business acts regarding the following:

Employment indicators:

- Pensions
- Healthcare benefits
- Union representation
- Number of work accidents
- Payment of minimum wages
- Equal opportunities
- Number of women/minorities in higher management or director positions

Human rights indicators:

- Works councils

- Use of child labour
- Operations/trade relations with countries with poor human rights records
- Discrimination within the company

Communities in which the business operates:

- Donations to charity
- Spending on local schools, hospitals and housing

Business integrity and ethics:

- Cases of illegal trading
- Political contribution
- Unfair competition

Product responsibility:

- Social impact of products sold
- Health and safety
- After-sales service
- True and fair advertising
- Privacy of customers and suppliers

The environment:

Some businesses may only produce an environmental audit.

- The amount of energy or other raw materials used by the businesses, such as water/pesticides
- How much waste was produced
- The levels of greenhouse gases/ other emissions
- Percentage of materials recycled
- The company's impact on biodiversity
- Impact on protected / sensitive areas
- Compliance with environmental regulations

Corporate social responsibility



Advantages of a CSR approach

- **Happy customers;** more loyal to a CSR business
- **Happy staff;** more motivated and productive workers who are proud of the business that they work for
- **Happy investors;** more funding and investment will become available, many investors seek CSR businesses
- **New products new markets;** working in a CSR way will stimulate innovation (in ways to save energy for example)
- **Good PR;** public relations which show the business in a positive light
- **Happy community;** trusted relationships built with the local communities
- **Happy suppliers;** who may choose a CSR business because of their ethical stance
- **Cost reductions;** in not having to re-hire staff, in energy saving in reducing waste, in keeping loyal customers

Disadvantages of a CSR approach

- **Fad?;** Many business writers speculate that CSR is the latest fad and soon consumers will tire of it and move on to something else
- **Motive?;** Some businesses may have a CSR policy specifically for the good PR that it creates, the evidence for this is a CSR job would be working inside a PR department of a large organisation
- **Cost?;** Is the cost larger than the benefits for a business? If the competition are not bothering with CSR that does not necessarily give complete advantage it could just make for a more expensive product
- **Care?;** Do consumers care that the farmer that grew the coffee beans was paid a fair wage, or will they buy the coffee based on price or a nice looking jar?

CSR shareholders / stakeholders

Shareholders

- Shareholders are interested in the profit performance of the business and any potential dividend payout from it
- They are less concerned with costly ethical issues and may even discourage ethical initiatives on financial grounds

Stakeholders

- Stakeholders are interested in the way that suppliers of materials and components to the business are treated – for example; fair wages and good working conditions
- Pressure groups are interested in the use of child labour and sweatshops in the production process